

Introduction to Business – MGT211

Short Notes By VU Nexus

Theme 9

IT, E-Commerce, and Risk Management

I. Information Technology (IT) in Business

Information Technology (IT)

Full Form: Information Technology

Meaning: The use of computers, software, networks, and data systems to support business activities.

IT is the **backbone of modern business**, helping organizations achieve:

- Efficiency
- Innovation
- Global competitiveness

IT includes:

- **Hardware** (physical devices like computers)
- **Software** (programs and applications)
- **Networks**
- **Data systems**

1.1 Transformative Role of IT

Transformative: Causing major change or improvement.

Key areas where IT transforms businesses:

Communication

Tools:

- Zoom

- Slack
- Microsoft Teams

Enable **real-time collaboration** across locations.

Real-time: Without delay.

Automation

Automation: Performing tasks automatically using technology.

ERP – Enterprise Resource Planning

Examples: SAP, Oracle

ERP automates:

- Payroll
- Inventory management
- Billing

Benefits:

- Lower costs
- Reduced human error

Data Analytics

BI – Business Intelligence

Tools: Power BI, Tableau

Used to analyze:

- Customer behavior
- Sales trends
- Operational inefficiencies

Inefficiencies: Weaknesses or waste in operations.

Customer Experience

CRM – Customer Relationship Management

Tools: Salesforce, Zoho

CRM helps in:

- Personalized marketing
- Managing customer data

Chatbots: Automated programs that provide customer support 24/7.

E-Commerce

Meaning: Buying and selling goods online.

Platforms:

- Shopify
- Daraz

Allow businesses to reach **global markets**.

Cybersecurity

Meaning: Protecting data from hacking and cyber attacks.

Tools:

- Firewalls
- Encryption

GDPR – General Data Protection Regulation

A law to protect customer data.

Example:

A Pakistani textile manufacturer uses ERP to track inventory in real time and reduces waste by **20%**.

1.2 Computer Networks in Business

Computer Network: A system that connects devices to share data and resources.

Types of Networks

LAN – Local Area Network

Connects devices within a single office.

WAN – Wide Area Network

Connects branches across cities or countries.

VPN – Virtual Private Network

Provides secure remote access to employees.

Challenges:

- Hacking
- Network security threats

Solutions:

- Firewalls
- Regular data backups
- Employee training

Case Study:

A Pakistani retail chain uses a WAN to centralize sales data and adjust inventory levels efficiently.

II. Management Information Systems (MIS)**MIS – Management Information System**

Meaning: A system that collects, processes, and analyzes data to support managerial decision-making.

Components of MIS

- **Hardware:** Servers, computers
- **Software:** Databases and tools
- **Data:** Sales records, customer data
- **Processes:** Reporting methods

Applications:

- Universities track student enrollment
- Logistics firms optimize delivery routes

Challenges:

- High implementation cost
- Resistance to change by employees

III. E-Commerce Dynamics**3.1 Types of E-Commerce****B2C – Business to Consumer**

Example: Daraz.pk selling directly to customers

B2B – Business to Business

Example: Alibaba.com connecting wholesalers

C2C – Consumer to Consumer

Example: OLX for used goods

Critical Dynamics**Digital Platforms**

Shopify allows **SMEs (Small and Medium Enterprises)** to create online stores easily.

Payments

- JazzCash
- Easypaisa

Enable **cashless transactions** (payments without physical cash).

Logistics

Daraz Express provides fast delivery services.

Marketing

SEO – Search Engine Optimization

Improves website visibility on search engines.

Instagram ads and influencer marketing target specific audiences.

Example:

PriceOye.pk gained success through verified products, transparent pricing, and customer reviews.

3.2 E-Commerce in Pakistan

Growth Drivers

- High mobile usage (85%)
- Young population (64% under 30)
- Digital Pakistan Policy

Success Stories

- **Daraz:** Large-scale sales events (11.11)
- **Bykea:** Ride-hailing combined with parcel delivery

Challenges

- Low trust in online payments
- Weak delivery systems in rural areas

IV. Insurance and Risk Management

Risk

Meaning: The possibility of future loss or damage.

4.1 Types of Business Risks

- **Operational Risk:** Supply chain disruptions
- **Financial Risk:** Currency fluctuations
- **Strategic Risk:** New competitors
- **Cybersecurity Risk:** Data breaches

4.2 Risk Management Process

1. **Identify:** Recognize potential risks
2. **Assess:** Measure the impact
3. **Control:** Take preventive actions
4. **Transfer:** Shift risk through insurance
5. **Monitor:** Review regularly

Example:

A Karachi manufacturer reduces fire risk and insures assets with Jubilee Insurance.

4.3 Types of Business Insurance

- **Property Insurance:** Covers physical assets
- **Liability Insurance:** Covers legal claims
- **Cyber Insurance:** Covers data breach losses

Case Study:

A Lahore tech startup purchases cyber insurance after a phishing attack.

V. Key Takeaways and Trends

5.1 Future Directions

- **AI – Artificial Intelligence:** Used in chatbots
- **Green Logistics:** Eco-friendly deliveries
- **Blockchain:** Secure supply chain tracking

5.2 Strategic Recommendations for Pakistan

1. Cloud Computing

- **AWS – Amazon Web Services**
- Microsoft Azure

2. Digital Literacy

- Training in SEO and digital payments

3. Cybersecurity

- **ISO 27001:** Information Security Management Standard

Discussion Questions

1. How can Pakistani SMEs use MIS to compete globally?
2. Should the government regulate e-commerce? Discuss pros and cons.
3. Compare risk management in a tech startup and a textile factory.

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